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Cursor snaps up
enterprise startup Koala
in challenge to GitHub
Copilot



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- Roku launches Howdy, a \$2.99 ad-free streaming service
- Spotify raises subscription prices
- The uproar over Vogue's AI-generated ad isn't just about fashion

The Koala deal paints a picture of the two types of AI startups we're seeing in 2025. There's Cursor, a juggernaut of an AI tool that is growing so fast it's starting to encroach on the AI space's largest players, including Microsoft and Anthropic. At the same time, there's a growing number of startups like Koala: B2B AI startups that seemed promising — with a co-founder from Meta and advisers like Jack Altman — but have quickly run out of steam.

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These deals look a lot like Big Tech's reverse acquisitions, such as Meta's recent deal to hire Scale AI's leaders. Much like in Meta and Scale's deal, Cursor can now move quickly to build out new business

segments while leaving questionable businesses behind.

Cursor hopes that Koala and Resource.ly's talent will help it evolve from a personal developer tool that engineers quietly use at work and become an enterprise-wide platform that companies pay large contracts to access. Most enterprises today that offer employees an AI tool choose Microsoft's GitHub Copilot, which works as an AI-powered



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the Fortune 500, including Nvidia, Uber, and Adobe. A source familiar with the matter says that revenue has since grown, and an increasingly large share of that growth comes from enterprise deals.

But as Cursor competes with Microsoft, it also needs to fend off a growing field of threats.

The most pressing one is Anthropic, a crucial partner to Anysphere, whose Claude Code product has grown rapidly in recent months. Cursor relies heavily on Anthropic's AI models to power its own coding products. (As one of its biggest customers, Cursor is also vital to Anthropic.)

At the same time, Google just scooped up the leadership team of Windsurf, a major competitor to Cursor in the AI-powered IDE space. Cognition, the



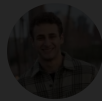
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The race isn't just about building the best AI coding tool anymore, though. It's about who can scale their enterprise operations the fastest while the market is still up for grabs. With the likes of Microsoft, Google, and Anthropic all moving fast, Cursor's acquisition strategy may determine whether it joins their ranks or becomes another startup that couldn't scale fast enough.



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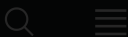
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growing so quickly that it's not in the market to be sold, even to OpenAI, a source close to the company tells TechCrunch.

It's been a hot target. Cursor is one of the most popular AI-powered coding tools, and its revenue has been growing astronomically — doubling on average every two months, according to another source. Anysphere's current average annual

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And the

growing AI coding startup, Windsurf, with a [\\$3 billion acquisition offer](#), Bloomberg reported last week. While Windsurf is a comparatively smaller company, its ARR is about \$100 million, up from [\\$40 million in ARR](#) in February, according to a source.

Windsurf has been gaining popularity with the developer community, too, and its coding product is

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designed to work with legacy enterprise systems. Windsurf did not respond to TechCrunch's request for comment. OpenAI declined to comment on its acquisition talks.

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Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy



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strategy, Chris Farmer, partner and CEO at SignalFire, told TechCrunch of the company, “They’ll be acquisitive at the app layer. It’s existential for them.”

Topics: [AI](#) [Anysphere](#) [Exclusive](#)

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FUNDRAISING



Anysphere, a GitHub Copilot rival, has raised \$60M Series A at \$400M valuation from a16z, Thrive, sources say



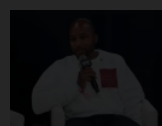
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while they were students at MIT. Truell and Sanger later participated in [Neo Scholars](#), a prestigious mentorship program for undergraduate students majoring in technical fields. Neo, which also runs an accelerator and a venture fund, led Anysphere's pre-seed investment. Last year, the company raised an [\\$11 million seed](#) round led by OpenAI Startup Fund with participation from former GitHub

CEO Nat Friedman, Dropbox co-founder Arash Ferdowsi and other angel investors.

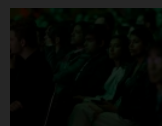
Anyphere is part of an increasingly crowded field of AI coding copilot startups. Other startups that aim to make software writing more efficient include Cognition, [Poolside](#), [Magic](#) and [Augment](#), among others.

Investors' interest in this area is not a surprise.

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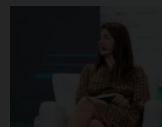
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AnySphere's revenue and usage has also been growing fast, one person said.

In July, Business Insider reported that AnySphere was in the process of raising a new round and aiming

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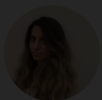


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Marina Temkin

Reporter, Venture | X

Marina Temkin is a venture capital and startups reporter at TechCrunch. Prior to joining TechCrunch, she wrote abo...

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